Heronbank Freight transfer

Compliance assessment and decision memorandum

DECISION OWNER	DEADLINE	FROZEN POSITION	OPERATIONAL MOVE
Orla Hollingsworth	3:00 p.m. Friday, 10 April 2026	31 March 2026	13 April 2026

RECOMMENDATION CONDITIONAL APPROVAL. Preserve the proposed Ontario-to-Quebec transfer as a controlled path, but do not make it effective or implement it until every release gate is documented. Immediate unconditional approval is not supportable while written consent, entity authority, the transfer instrument, and tax treatment remain unresolved.

Decision requested

Orla Hollingsworth is asked to approve one operating position by 3:00 p.m. on Friday, 10 April 2026, using only the frozen position at 31 March 2026. The request concerns Heronbank Freight's Ontario entity moving two equipment-finance agreements to its Quebec entity before the planned operational move on 13 April 2026.

Finance conclusion

- The known direct pre-tax transfer-fee baseline is CAD 21,300 as of the snapshot: CAD 9,300 for EF-214 plus CAD 12,000 for EF-337. This is not a tax-inclusive amount.
- EF-214's fee is an as-of-date baseline only: the amendment uses principal outstanding at the actual effective date, so Finance must remeasure it before release.
- CAD 184,000 and CAD 96,000 are register labels; CAD 702,000 and CAD 468,000 are remaining scheduled payments. Neither set is treated as a payable transfer fee.
- No written Quillhaven consent has been issued, and authority for both Heronbank entities and the Quebec assumption is incomplete. Rafael Kalinowski's statement is not approval or a proven fee waiver.

Terminology that controls this assessment

Label	Use in this package
Remaining scheduled payments	Gross contractual payments still scheduled: CAD 702,000 for EF-214 and CAD 468,000 for EF-337. They are continuing cash flows, not automatically an incremental transfer cost.
Direct transfer fee	A fee supported by the consent/assignment term: the EF-214 percentage/minimum formula or the EF-337 fixed assignment fee, before any unresolved tax.
Incremental termination or move cost	A new cost caused by ending or moving an agreement. The supplied facts do not establish a genuine early-termination or break cost.
Termination exposure	An ambiguous operational umbrella used for either remaining payments or incremental costs. It is retained only as a quoted register label and is not used as a payable amount.

The recommendation and financial baseline are subject to the objective release gates on page 3 and the deadline fallback on page 4.

01 / RECONCILED COMPARISON SCHEDULE

Basis and limitation

As of 31 March 2026, Finance records policy places executed signed amendment terms above register and workbook labels. Only approved summaries of those amendments are described here; the underlying agreements, amendments, register, and workbook were not supplied for independent inspection.

Agreement	Register label	Payment workbook	Executed-amendment summary	Finance reading
EF-214	CAD 184,000 "termination exposure"	CAD 702,000 remaining scheduled payments No transfer or termination charge shown	Affiliate transfer requires Quillhaven written consent and a fee of 1.5% of then-outstanding principal, subject to a CAD 5,000 minimum. Snapshot principal: CAD 620,000. Indicative fee: CAD 9,300.	Amendment basis governs the transfer-fee baseline. The register label and remaining payments are retained for traceability, but neither is the payable transfer fee.
EF-337	CAD 96,000 "termination exposure"	CAD 468,000 remaining scheduled payments CAD 12,000 assignment line	Transfer requires Quillhaven written consent and a fixed CAD 12,000 assignment fee plus applicable taxes.	The amendment-supported direct fee is CAD 12,000 before unresolved tax. The register label and remaining payments are not the transfer fee.

Known direct-fee calculation

Component	Evidence-supported calculation	Amount used	Qualification
EF-214	max(1.5% x CAD 620,000, CAD 5,000)	CAD 9,300	Snapshot baseline only; remeasure principal at the actual effective date.
EF-337	Fixed assignment fee	CAD 12,000	Applicable taxes are unresolved and excluded.
Combined baseline	EF-214 plus EF-337	CAD 21,300	Known direct pre-tax amount only; no scheduled payments or tax included.

STATUS QUO

If the request is refused, lapses, or fails its gates, the existing Ontario agreements and their ordinary payment obligations remain in place. On the supplied facts, that outcome does not itself establish a termination event or turn all remaining payments into an incremental cost.

Cost discipline

Every occurrence of the recommended option's known direct cost means CAD 21,300 pre-tax at the 31 March 2026 snapshot. Taxes, place of supply, fee treatment, registration, recoverability, and any later EF-214 remeasurement remain unresolved and are not folded into that figure.

02 / ALTERNATIVES AND RELEASE CONDITIONS

Decision alternatives

The three options are evaluated against the same control basis: present availability, consent and authority status, known financial effect, unresolved legal or tax exposure, deadline consequence, and operational impact.

Option	Availability / consent and authority	Financial / Legal-Tax exposure	Deadline, operations / decision
Approval Immediate	Not releaseable today. No Quillhaven written consent; both-entity authority and the Quebec assumption are incomplete; final instrument is not evidenced.	CAD 21,300 known direct pre-tax baseline. Taxes and EF-214 remeasurement are unresolved; transaction form and release are unconfirmed.	May appear to support 13 April, but bypasses release controls. Operational delay is not valued. Do not approve now.
Conditional approval Controlled release	Available as a decision path, not as completed consent. Effectiveness is held until all five objective gates are documented.	CAD 21,300 known direct pre-tax baseline. Taxes unresolved; EF-214 must be remeasured at the effective date; Legal form remains a gate.	Supports 13 April only if gates are complete by 3:00 p.m. on 10 April; otherwise the page 4 fallback applies. RECOMMENDED.
Refusal Status quo	Available now as a decline; it does not transfer or release the Ontario agreements.	No transfer fee is booked from refusal on supplied facts. No transfer instrument, transfer-tax treatment, or transfer accounting is implemented. CAD 702,000 and CAD 468,000 remain ordinary scheduled payments; no delay value is assigned.	No Quebec migration or billing change. Move impact is unquantified. Fallback if gates fail; not the selected recommendation.

Objective release gates for conditional approval

Gate	Required evidence before effectiveness	Responsible function
1	Authorized execution or authority evidence for both Heronbank entities, including authority for the Quebec assumption and final signatories.	Heronbank Legal
2	Formal Quillhaven written consent for both EF-214 and EF-337 in the agreed transaction instrument; silence, timing, or an informal statement is insufficient.	Quillhaven authorized approver / Legal
3	Legal confirmation of the transfer instrument and cross-jurisdictional requirements: assignment, assumption, novation, or other mechanism; release/binding effect; Ontario PPSA and Quebec Civil Code/RPMRR security issues; and applicable Quebec French-language requirements.	Legal counsel
4	Tax confirmation of fee treatment, place of supply, invoicing, documentation, Quebec registration implications, and recoverability. No tax amount is assumed until confirmed.	Tax
5	Finance validation of effective-date principal and fees, including EF-214's remeasurement and the CAD 21,300 pre-tax baseline, followed by accounting-policy review.	Finance / Accounting

A conditional approval is a controlled authorization to complete the gates; it is not a waiver of any gate and is not evidence that the transfer has already occurred.

03 / CONTROL BOUNDARIES AND DEADLINE FALLBACK

Ownership boundaries

Finance can reconcile the known amounts and set release controls. It cannot settle the legal characterization, enforceability, security regime, language requirements, or indirect-tax treatment from the frozen brief.

LEGAL COUNSEL	TAX	FINANCE / OPERATIONS
- Determine whether the transaction is an assignment, assumption, novation, consent, or another transfer mechanism; determine whether and how the Ontario entity is released and the Quebec entity becomes bound. - Review complete agreements, amendments, authority evidence, and formal consent. - Assess Ontario PPSA and Quebec Civil Code/RPMRR security-registration, perfection, amendment, or continuation implications conditionally; no particular filing is declared required or sufficient here. - Assess applicable Quebec French-language requirements for the transfer, assumption, notices, and related customer documents. Do not assume automatic invalidity, universal translation, or a settled exemption. - Review Rafael Kalinowski's statement for any representation, reliance, or authority consequence.	- Record the frozen rates only: Ontario HST 13%; Quebec GST 5% plus QST 9.975%, as of 31 March 2026. - Confirm which regime and taxes apply to each fee, including place of supply, fee characterization, invoicing, registration, documentation, and recoverability. - Do not calculate or assert an input tax credit, input tax refund, exemption, or net tax cost without evidence. Any tax is extra to the CAD 21,300 known pre-tax baseline only if Tax confirms it applies.	- Treat CAD 21,300 as the known direct pre-tax baseline at the snapshot: CAD 9,300 plus CAD 12,000. Remeasure EF-214 using principal at the actual effective date. - Rafael's "without an exit charge" communication is neither internal approval nor a proven fee waiver. Preserve it and route it to Legal; do not honor it as controlling and do not declare it harmless. - Do not change transfer-related billing, ledger, asset, liability, or contract-master records before legal effectiveness and accounting-policy review. The label equipment-finance agreement does not establish a particular lease or financing accounting model. - Keep the Ontario agreements and ordinary billing active unless and until the gates are released.

Automatic deadline fallback

IF ANY REQUIRED GATE IS MISSING BY 3:00 P.M. ON 10 APRIL 2026	The transfer does not take effect. The Ontario agreements remain operational and their ordinary payment obligations continue. Operations must implement no Quebec migration, billing change, transfer accounting, or contract-master change. The 13 April move may require a separate operational plan, but no unsupported dollar value for delay is assigned. This fallback applies if required Quillhaven consent, entity authority, Legal confirmation, or Tax treatment cannot be confirmed by the deadline.

Operative decision

Approve conditionally. Release only after all five gates are evidenced. Until then, keep the Ontario contract state active and do not treat Rafael Kalinowski's communication as consent, internal approval, or a fee waiver.

The evidence index on pages 5 and 6 identifies what is reported, what was not supplied, who must confirm it, and the consequence of leaving it unresolved.

04 / EVIDENCE INDEX | REPORTED SOURCE BASIS

Traceability and evidence status

This index is based on the frozen brief only. "Reported" means a fact was stated or summarized in the brief; "not supplied" means the underlying document or confirmation was unavailable for independent inspection. No row says that an original agreement, amendment, register, workbook, signature, consent, tax opinion, or filing was reviewed.

Status key: Reported = brief fact or approved summary; Not supplied = original evidence absent; Confirm = release gate before effectiveness.

ID	Evidence and status	Material fact / interpretation	Responsible	Decision consequence
E1	Frozen decision brief Reported	Snapshot 31 March 2026; decision deadline 3:00 p.m. Friday, 10 April 2026; move planned for 13 April.	Finance	Sets the time boundary; no later information is assumed.
E2	Finance records policy Reported; text not supplied	Executed signed amendment terms take precedence over register and workbook labels.	Finance	Supports amendment-based fees while retaining conflicts for traceability.
E3	EF-214 register Reported summary; register not supplied	CAD 184,000 labeled "termination exposure." The label is ambiguous and is not adopted as a fee.	Finance	Retain the conflict; do not add it to the direct-fee baseline.
E4	EF-214 payment workbook Reported summary; workbook not supplied	CAD 702,000 remaining scheduled payments; no transfer or termination charge shown.	Finance / Operations	Treat as continuing cash flow, not incremental transfer cost.
E5	EF-214 executed-amendment summary Reported; original not supplied	Written consent; 1.5% of then-outstanding principal, CAD 5,000 minimum; snapshot principal CAD 620,000; baseline CAD 9,300.	Legal / Finance	Consent and effective-date remeasurement gates; supports part of the CAD 21,300 pre-tax baseline.
E6	EF-337 register and workbook Reported summaries; originals not supplied	CAD 96,000 register label; CAD 468,000 remaining payments; CAD 12,000 assignment line.	Finance	Keep meanings separate; do not treat 96,000 or 468,000 as transfer fee.
E7	EF-337 executed-amendment summary Reported; original not supplied	Written consent; fixed CAD 12,000 assignment fee plus applicable taxes.	Legal / Tax / Finance	Consent and Tax gates; supports the other part of the CAD 21,300 pre-tax baseline.

READING THE RECORD The register and workbook values are preserved because they explain the operational language and payment schedule. The executed-amendment summaries supply the Finance-record basis for the direct transfer-fee baseline, subject to original-document, Legal, Tax, and effective-date confirmation.

04 / EVIDENCE INDEX | MISSING RELEASE EVIDENCE

Confirmations required before effectiveness

The following evidence is not supplied or remains incomplete. Each item has an owner and a direct consequence for the conditional-approval release; it cannot be assumed away by the requested operational date or by an internal relabeling.

ID	Evidence and status	Unresolved item	Responsible	Decision consequence
E8	Entity authority and Quebec assumption Not supplied	Authority evidence for both Heronbank entities and the Quebec assumption is incomplete.	Heronbank / Legal	Transfer cannot be released or treated as effective until confirmed.
E9	Quillhaven written consent Not supplied	Quillhaven has not issued written consent for either agreement.	Quillhaven authorized approver / Legal	No-effect-before-consent control; silence and requested date are not consent.
E10	Frozen tax position Rates reported; advice not supplied	Ontario HST 13%; Quebec GST 5% plus QST 9.975%, as of 31 March 2026. Application remains unresolved.	Tax	No tax or tax-inclusive cost. Confirm place of supply, fee treatment, invoicing, registration, documentation, and recoverability.
E11	Cross-jurisdictional Legal review Not supplied	No confirmation of transaction form, release/binding effect, Ontario PPSA, Quebec Civil Code/RPMRR, or Quebec French-language requirements.	Legal counsel	Required release gate; no filing, language, enforceability, or exemption conclusion is made here.
E12	Customer communication Reported; authority evidence absent	Rafael Kalinowski said Quillhaven would approve "without an exit charge" and lacked approval authority.	Management / Legal	Not internal approval or proven fee waiver; Legal assesses representation, reliance, and authority consequences.
E13	Effective-date principal and accounting review Not supplied / Confirm	Only snapshot principal is known for EF-214. Final fee amounts and accounting-policy conclusion are unavailable.	Finance / Accounting	Remeasure EF-214 and hold billing, ledger, asset, liability, and contract-master changes until legal effectiveness and policy review.

CLOSING POSITION

Conditional approval is the sole recommendation. It preserves the proposed transfer only as a gated path. If required consent, authority, Legal confirmation, Tax treatment, or effective-date Finance validation is not confirmed by the deadline, the transfer does not take effect and the Ontario agreements remain unchanged.